

Alphabet Inc.

GOOGL NASDAQ

Buy	\$345.90 ▼ 0.13%	12M Price Target \$385.00	52-Week Range \$196.60 – \$408.61	Market Cap \$4.23T
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GOOGL: Gemini Hits 1B Users, Antitrust Still Looms

WHAT HAPPENED

- Gemini just crossed 1 billion active users — that's a massive milestone because 6 months ago people were writing Google's AI obituary. The stock isn't reacting today (-0.13%) which tells me the market hasn't fully repriced this yet. Wall Street is still anchored on "ChatGPT won" narrative from 2024.
- Unusual put buying at \$390-400 strikes expiring this month — someone's betting the stock DOESN'T break out above \$390 in the next two weeks. Could be hedging, could be conviction. Given we're at \$345, that's essentially a bet the rally pauses here.

WHY IT MATTERS

Here's the thing nobody's connecting: Gemini at 1B users while Search still prints ~\$200B/year means Google is doing what Meta did in 2022-2023 — using a monopoly cash cow to fund the AI war while competitors burn VC money. The put flow suggests short-term traders think the easy money's been made (stock is up 76% off the 52-week low), but the fundamental story is actually accelerating. Watch for this: if Google monetizes Gemini even at 1/10th the rate they monetize Search users, that's ~\$20B in incremental revenue nobody's modeling yet. The Reddit data licensing story is a sneaky tell — Google is paying for training data while also being Reddit's biggest customer, meaning they're playing both sides of the AI data economy.

POLICY & POLITICAL WATCH

The DOJ antitrust remedy phase is the elephant in the room — a ruling on potential Chrome divestiture or default search payment bans could land any week now, and that's the single biggest overhang on the stock. On the positive side, the Trump administration's AI executive orders have been notably permissive on model development (favoring US champions over EU-style regulation), which structurally helps Alphabet vs. Chinese competitors. Also watch the expiring US-Iran 60-day ceasefire mentioned in this morning's headlines — energy spike would hurt ad spending, which is 75% of Google's revenue.

IS IT EXPENSIVE?

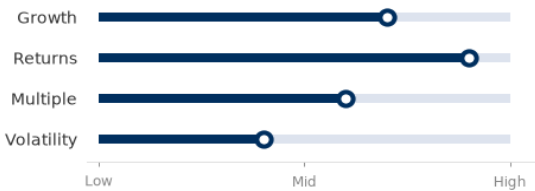
At \$345, GOOGL trades around 35x forward earnings — meaning you're paying \$35 for every \$1 of profit expected next year. That's a premium to the S&P but a DISCOUNT to Microsoft (~38x) and Meta (~28x adjusted for their AI capex burn). Given Gemini is now a legitimate consumer product AND Google Cloud is growing 30%+, this multiple looks reasonable — the market is still pricing in some antitrust discount that may reverse if the DOJ remedy comes in lighter than feared.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$345.90
12M Price Target	\$385.00
Upside / (Downside)	+11.3%
Market Cap	\$4.23T
FY2026E Revenue	\$425M
FY2027E Revenue	\$478M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	35.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$375.00	\$310.00
1 Year	\$430.00	\$385.00	\$290.00
2 Years	\$500.00	\$425.00	\$280.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.67% 5D) is running hard on the Iran ceasefire expiration — geopolitical risk premium is back. Utilities also strong as AI data center power demand narrative keeps compounding.

COOLING OFF: Materials weak (-0.61% 5D) suggesting no reflation trade. Tech/Comm Services only +1.59% — money isn't aggressively chasing mega-cap tech right now.

ROTATION WATCH: Money is rotating INTO energy and defensives, OUT of high-beta growth. That's a caution flag short-term for GOOGL but not a thesis-breaker — this looks like macro hedging, not a fundamental shift.

RELATED PLAY: If AI compute demand keeps compounding, the picks-and-shovels plays win too — think VRT (Vertiv), power infrastructure names, and data center REITs like DLR and EQIX.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Ad duopoly partner also benefiting from AI ad targeting improvements, cheaper multiple
- MSFT (Microsoft): Enterprise AI monetization is further along via Copilot — the model for what Google needs to prove

GOOGL CONTEXT: GOOGL has actually been LEADING mega-cap tech YTD after being the laggard in 2024. That tells me the "Google is losing AI" narrative is broken but not everyone's caught up yet — which is where the opportunity is.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The Gemini 1B user milestone is a genuine narrative shift and the antitrust discount creates asymmetric upside if the ruling disappoints bears.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a bad DOJ ruling doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$335-345 (where we are now is fine). If it dips to \$325 on macro fear, back up the truck.

TIME HORIZON: 12-24 months — waiting for DOJ remedy resolution and 2-3 quarters of Gemini monetization data.

WHEN TO BAIL: Forced Chrome/Android divestiture, Gemini user growth stalls under 1.2B, or Cloud growth drops below 20%.

HEDGING: Buy some September \$340 puts as cheap insurance against a bad antitrust headline — costs maybe 2% but caps your downside if the DOJ drops a bomb.